PLAN CODE: CS203 **Effective 30-Jul-2023**

CISCO SYSTEMS, INC.

INDIVIDUAL INCENTIVE COMPENSATION PLAN

FY24

This Individual Incentive Compensation Plan document ("IICP") describes the different elements of incentive compensation (the "Plan Elements") for which participants in this IICP are eligible. Participation in this IICP is subject to the provisions of the Cisco Systems, Inc. Worldwide Sales Incentive Compensation Plan General Terms and Conditions document (the "General Terms and Conditions document") and this IICP. Terms used in this IICP are defined below, or can be found, in the Worldwide Sales Incentive Compensation Plan General Terms and Conditions document.

I. PLAN PARTICIPANTS

This IICP applies solely to you, the Plan Participant.

Please note that a Plan Participant is not allowed to concurrently participate in more than one IICP at any given time, regardless of changes that may occur in job title.

II. COMPENSATION ELEMENTS

As a Plan Participant in this IICP, you are eligible for the following forms of compensation for FY24:

A. Base Pay

A bi-weekly salary, at the annualized rate specified in the Plan Participant's employment, transfer or promotion offer letter, or later notice of change to salary rate (U.S. Plan Participants), or in the Plan Participant's services or other contract (non-U.S. Plan Participants). See the Types of Compensation section of the Worldwide Sales Incentive Compensation Plan General Terms and Conditions document for additional information.

B. Minimum Incentive Payments ("Minimum Payments") and Recoverable Draws

1. **Definition:** See the Definitions Section of the Worldwide Sales Incentive Compensation Plan General Terms and Conditions document for the definition of Minimum Incentive Payment or Recoverable Draws and additional terms and conditions applicable to Minimum Incentive Payment or Recoverable Draws.

2. **Eligibility to Receive Minimum Incentive Payment or Recoverable Draw:** At the time of the Plan Participant's hire or transfer into a position eligible for this IICP, or at other appropriate times, the Plan Participant may be eligible for and offered a Minimum Incentive Payment or Recoverable Draw arrangement. The specific Minimum Incentive Payment or Recoverable Draw amount the Participant is eligible to receive per fiscal period is determined as a percentage of monthly Target Incentive existing or anticipated at the beginning of the Minimum Incentive Payment or Recoverable Draw period. Minimum Incentive Payment or Recoverable Draw amounts will not be increased if there is a later increase to the Participant's Target Incentive but may be decreased, at Cisco's discretion, to correspond to any decrease in Target Incentive.

In general, a Plan Participant is not eligible to receive any Recoverable Draw unless the Plan Participant has acknowledged his/her/their Goal Sheet at the beginning of the relevant Fiscal Period and/or at the time of hire or change of job, during the Fiscal Period, and accepted the Terms and Conditions of the Recoverable Draw within their Offer Letter. If a new or revised Goal Sheet is assigned during the Fiscal Period, the Plan Participant will not be eligible to receive any Recoverable Draw unless he/she/they have acknowledged any new/revised Goal Sheets(s) which may have been issued.

3. Disbursement of Minimum Incentive Payment or Recoverable Draw: Minimum Incentive Payments or Recoverable Draws are paid in alignment with Cisco's fiscal periods, on dates that Sales Incentive Compensation is paid for such periods.

3.1 A Plan Participant who begins participation in this IICP prior to the midpoint of a fiscal period, and is authorized to receive a Minimum Incentive Payment or Recoverable Draw, will ordinarily receive the full Minimum Incentive Payment or Recoverable Draw for that fiscal period on the date Cisco pays Minimum Incentive Payments or Recoverable Draws for that fiscal period.

3.2 A Plan Participant who begins participation in this IICP on or after the midpoint of a fiscal period will ordinarily experience a delay in eligibility and receipt of Minimum Incentive Payment or Recoverable Draw.

- As an example to illustrate the delay: If a new employee begins plan participation after the midpoint in fiscal period 4 (Nov. period), he/she/they will receive no Minimum Incentive Payment or Recoverable Draw for fiscal period 4 (Nov. period). Such Plan Participant would not receive his/her/their first Minimum Incentive Payment or Recoverable Draw, until fiscal period 6 (Jan. period) which is the time that he/she/they would receive the Payment or Draw for fiscal period 5 (Dec. period).

Minimum Incentive Payments or Recoverable Draws initiated during FY23 and continuing into FY24 will be subject to the terms and conditions of the Worldwide Sales Incentive Compensation Plan General Terms and Conditions document for the fiscal year that the Minimum Incentive Payment or Recoverable Draw is paid. Any Minimum Incentive Payments or Recoverable Draws which commenced in FY23 for a period that would extend into FY24, will terminate at the end of FY23 and will not resume until the Plan Participant has acknowledged and accepted his/her/their FY24 Goal Sheet.

4. Termination of Employment: Minimum Incentive Payments (MIP) or Recoverable Draws are never earned amounts and are not part of any payments due upon termination of employment. If a Plan Participant's employment terminates, any remaining MIP or Recoverable Draws will not be paid out.

- **Example:** If the Plan Participant's employment terminates on the 25th of the month and a Minimum Incentive Payment or Recoverable Draw was scheduled to be paid on the 31st, the Plan Participant is not eligible to receive, and will not receive, that Minimum Incentive Payment or Recoverable Draw.

C. Quota Component Payment

The Quota Component is advanced on a fiscal month basis and is based on a Plan Participant's year-to-date attainment relative to the sales goal for the period. Calculation of the Quota Component depends upon the specific category or categories of performance in which the Plan Participant's attainment is being measured (referred to as "Plan Elements"). The Plan Element(s) for this Plan and the relative weight given to each Plan Element (if more than one is assigned in the Participant's Goal Sheet) are set forth below and in the Plan Participant's Goal Sheet. This Sales Incentive plan calculates and expresses Sales Incentive Compensation opportunities as a percentage of Target Incentive. **Target Incentive is a variable compensation amount** (Quota plus Strategic Components) associated with 100% achievement of Quota/Sales Goals and strategic objectives for all Plan Elements.

Your **Base Pay Ratio plus your Variable Pay Ratio**, both expressed in relation to On Target Earnings (OTE), also known as Total Targeted Compensation (TTC), is **always equal to 100%**.

- **TTC is calculated as:** Base Pay/(1-Variable Pay Ratio %)
- **Target Incentive is calculated as:** TTC less Base Salary. Your Target Incentive amount is split between the Quota and Strategic components of your compensation plan.

Below, please find your current TTC and Target Incentive for this compensation plan, as of the acceptance date of your goal sheet:

Category	Formula for Calculation	Your Current Information
Plan Code:		CS203
Currency:		GBP
Annual Base Salary:	(A)	62,675.00
Annual Target Incentive (TI):	(B)	62,675.00
Annual On Target Earnings (OTE) or Total Targeted Compensation (TTC):	(A+B)	125,350.00
Pay Mix (Base/Variable):	Base Salary Ratio: Variable Pay Ratio	50.00:50.00
Annual Quota Component Target Incentive:		62,675.00
Annual Strategic Component Target Incentive:	N/A	N/A

<u>Please note this is your current TTC and Target Incentive details as of the date of the acceptance of your goal sheet. TTC and Target Incentive are subject to change</u> during the effective dates of this compensation plan due to, but not limited to: salary increases, role changes, LOA, etc. Please refer to the Sales Plan Pro-Ration section of the Worldwide Sales Incentive Compensation Plan General Terms and Conditions document. Base salary and target incentive values above are based on the number of days in the applicable period.

This is a Annual Plan. Therefore, the basis for the Quota Component calculations is the total actual Target Incentive to be received by the Plan Participant from the IICP start date to the end of the goal period, and will account for increases and decreases in Target Incentive, and periods of reduction in Target Incentive arising from a reduced work schedule or LOA (if any).

- **Target Incentive is determined using the following formula:** Annualized Target Incentive divided by the number of days in the fiscal year, multiplied by the number of projected Individual Incentive Compensation Plan participation days during the fiscal year.

- **For example:** A Plan Participant with an annual Target Incentive of 45,000 who is hired or transfers into the Plan on the first day of Q3, the Target Incentive is 22,500 calculated as follows: 45,000 Target Incentive divided by 364 days in the fiscal year, multiplied by 182 days which is the number of projected Plan participation days through the end of the fiscal year.

If, during the fiscal year, a Plan Participant transfers or is promoted to a different position which is within this Individual Incentive Compensation Plan, or, if a new employee is hired into a position within this Individual Incentive Compensation Plan, Target Incentive calculations will be determined using the Target Incentive value in existence as of the effective date of the Plan Participant's Goal Sheet for the new position and prorated based on the transfer, promotion, or hire date.

1. <u>Plan Element Terminology Applicable to the Quota Component</u>:

The Plan Elements which appear on the Plan Participant's Goal Sheet, as described and explained below, are the exclusive Plan Elements on which the Plan Participant's attainment of Quota/Sales Goals will be measured and Target Incentive will be calculated and payable for the period(s) defined by the Participant's Goal Sheet. Territorial Levels or Accounts specify the geographical territorial level or types of accounts for which the Plan Participant's Revenue Credit attainment will be measured against Quota/Sales Goal. Territories expressly stated on a Plan Participant's Goal Sheet are the exclusive territories on which the Plan Participant will be compensated for the period defined by the Goal Sheet.

Please review your Plan Element(s) and your Goal Sheet carefully. **A Plan Participant who has questions about anything in his/her/their Goal Sheet should seek clarification from his/her/their manager.** If you notice any inconsistency between your Goal Sheet and the Plan Element(s) below, or any other possible error, please contact your manager immediately.

2. **<u>Your Plan Element(s)</u>**: Calculation of your Target Incentive will be based on the specific Plan Element(s) for which you have received Quota/Sales Goals in your Goal Sheet. Your Primary Plan Element will be reflected as "PRI", "SV", or "SD", whereas your Non-Primary Plan Element(s) will be reflected as "NPR", "NPV", or "NPD".

60% TER-PRO:PRD & SVC ANNUAL|AG|PRI
TER-PRO: A Plan Element including the term TER-PRO means that revenue credit attainment is based upon total net product and/or service revenue credited to the defined territory(ies) named in the goal sheet. Goal is prorated as of entry date into the compensation plan as well as revenue attainment is effective as of entry date into the compensation plan.
PRD & SVC ANNUAL|AG|PRI: A Plan Element indicating PRD & SVC indicates the combined net product and annual service revenue attainment credited to the assigned territory or account(s) including net revenue from resale to the extent that it is identifiable to the assigned territory or account(s). Where a Plan Element includes the term CX-SVC ANNUAL, this means that booking and revenue credit is based upon up to the 12 month value of term-based services (eg SNTC) and total value of non-term based services (eg AS-T). Where a plan participant has the special payment treatment on multi-year bookings, they should refer to the Services multi-year treatment guidelines for guidance.

20% TER-PRO:RSW & CX-SVC IACV|AG|NPV
TER-PRO: A Plan Element including the term TER-PRO means that revenue credit attainment is based upon total net product and/or service revenue credited

to the defined territory(ies) named in the goal sheet. Goal is prorated as of entry date into the compensation plan as well as revenue attainment is effective as of entry date into the compensation plan.

RSW & CX-SVC IACV|AG|NPV: Where a Plan Element includes the term RSW & CX-SVC IACV|AG|NPV, this means that revenue credit attainment for net service revenue is based upon Incremental Annual Contract value (iACV) credited to the pre-determined portfolios designated as Recurring Services as defined by the Sales Finance Organization. iACV is measured for each service by CX Upsell Group, plan is defined with the following CX Upsell Groups--Support Services & Success Tracks, Expert Care, Lifecyle Services, Operate, and Learning Subscriptions within the assigned territory (ies) or account(s) and can be credited in the form of New Logo iACV or Upsell iACV for services, and as Cross-Sell iACV for services only. Determination of iACV type occurs by validating active services subscriptions at the Customer Account View (CAV) Business Unit (BU). For Upsell iACV, the Available to Renew (ATR) values of subscriptions within the assigned territory (ies) or account(s) in the goaling period are referenced to derive any mid-term or renewal upsell.

20% TER-PRO:RSW RND|NPD

TER-PRO: A Plan Element including the term TER-PRO means that revenue credit attainment is based upon total net product and/or service revenue credited to the defined territory(ies) named in the goal sheet. Goal is prorated as of entry date into the compensation plan as well as revenue attainment is effective as of entry date into the compensation plan.

RSW RND|NPD: Where a Plan Element includes the term $ RENEWED, this means that revenue credit attainment for net product and/or service revenue is based upon renewals credited to the pre-determined portfolio designated as Recurring Software or Recurring Services as defined by the Sales Finance Organization. $ RENEWED will be derived for each product (by PID Matching Group) or service (by CX Upsell Group) within the assigned territory (ies) or account(s) that have Available to Renew (ATR) values in the goaling period.

3. <u>Calculation of the Quota Component and Payout Schedule</u>:

a) The Quota Component is calculated on a cumulative year-to-date basis for performance relative to annual Quota/Sales Goals, using the Quota Component Rate Table below. The Quota Component is paid out on a fiscal month basis, less previous payments against goal.

b) If the goal attainment falls between any two attainment levels listed in the Quota Component rate table below, an additional percentage multiplier will apply to each 1% of attainment above the corresponding attainment level. For illustrative purposes, if a Plan Participant is at 50% attainment, then the percentage above the attainment level (in this case, 10%) would be multiplied by the applicable rate. Your actual attainment breakpoints and rates may vary.

c) All Quota Component calculations will be rounded to two decimal places.

d) All payments under this IICP will be less applicable deductions and withholdings.

3.1 <u>Pay Rates Defined</u>

- **Standard Pay Rates**
  - Standard pay rates are those which apply to the core sales compensation plan for the particular role. Standard rates can be consistent globally, or in some cases by geography.
- **Auxiliary Program Pay Rates**

- Auxiliary programs are time bound and provide alternative pay rates from the standard pay rates associated with the core sales plan. Auxiliary program rates apply for the current fiscal period only. Current eligibility for an auxiliary program does not guarantee or imply 1) that the program will continue, in its current state or otherwise, into the next fiscal period, and/or 2) an individual's eligibility to that program beyond the current fiscal period.

4. <u>Quota Component Rate Table</u>:

4.1 <u>Standard Rate Table</u>:

The table below sets forth the standard rates associated with your core sales plan. The rates are used to calculate the payouts for attainment within the stated ranges.
Additionally, based upon eligibility to any auxiliary program the rates below would be superseded by the rates associated with that auxiliary program (shown in Section 4.2).
Rate Table: CS203

Attainment as % of Quota		Pay Rates for Each 1% Attainment within Attainment Range
Start Range	End Range	Plan Element Pay Rates
> 0%	< = 50%	.750%
> 50%	< = 75%	1.500%
> 75%	< = 100%	1.000%
> 100%	< = 130%	4.250%
> 130%	< = 200%	2.000%
> 200%		1.000%

4.2 <u>Auxiliary Program Rate Table</u>:

The table below sets forth the rates used to calculate the payouts for attainment of your I**ACV** and additional Plan Element Quotas within the stated attainment ranges subject to Primary Plan Element Focus.

Rate Table: CS203
2024 CS203 TER-PRO:RSW & CX-SVC IACV|AG|NPV
2024 CS203 TER-PRO:PRD & SVC ANNUAL|AG|PRI
2024 CS203 TER-PRO:RSW RND|NPD

Attainment as % of Quota		Percent Multiplier for Each 1% Attainment within Attainment Range					
		Primary PE < 100% Quota Attainment			Primary PE >= 100% Quota Attainment		
Start Range	End Range	Primary PE	Non-Primary IACV PE	Tertiary RND PE	Primary PE	Non-Primary IACV PE	Tertiary RND PE

> 0%	< = 50%	.750%	.750%	.750%		.750%	.750%
> 50%	< = 75%	1.500%	1.500%	1.500%		1.500%	1.500%
> 75%	< = 100%	1.000%	1.000%	1.000%		1.000%	1.000%
> 100%	< = 130%		1.000%	1.000%	4.250%	4.250%	4.250%
> 130%	< = 200%		1.000%	1.000%	2.000%	2.000%	2.000%
> 200%			1.000%	1.000%	1.000%	1.000%	1.000%

4.3 <u>Sales Compensation Resources</u>:

Sales Compensation Resources		
Tools:	**Description:**	**Url:**
FY24 Sales Compensation web site	General Sales Compensation Resources	Sales Compensation web site
Visibility Statement	Actual Sales Compensation Plan Calculations and Payments (Available Once Your Goal Sheet has Been Authorized)	Visibility Statements
Customer Service HUB	Issue to Resolution (I2R) for Sales Compensation Issues and Inquiries	Customer Service HUB

For further questions, including but not limited to assistance with your sales plan, the Plan Participant should seek clarification from his/her/their manager.